

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$21.28 ▼ 0.47%

12M Price Target
\$28.00

52-Week Range
\$10.80 – \$58.15

Market Cap
\$7.07B

RGTI: Trump Quantum Orders Lift Sector, But Insiders Selling

WHAT HAPPENED

- Trump signed executive orders yesterday aimed at boosting federal quantum computing adoption with a 2028 target — D-Wave ripped, but RGTI actually faded slightly (-0.47%). Translation: the news was already partially priced in after the recent run, and the market is starting to differentiate between quantum names rather than treating them as one basket.
- A director (Ray Johnson) sold another \$1.75M in stock yesterday — his third significant sale this month. That's a yellow flag right when the narrative is supposed to be peaking.

WHY IT MATTERS

The Trump executive orders are a real tailwind — federal agencies being directed to adopt quantum tech means RGTI's government pipeline (they already work with DARPA and the Air Force) just got political cover and likely budget. But here's the catch: the 2028 commercialization target means revenue stays tiny (\$18M this year vs. a \$7B market cap) for a while, and the stock is essentially trading on faith. The insider selling cluster — CEO sold \$1.5M on June 1, director dumping repeatedly — tells you the people closest to the business are taking chips off the table at these levels, even with the policy tailwind. Options flow is screaming bullish (P/C ratio of 0.21, massive call buying at \$22-25 strikes), so retail and momentum traders are positioned for more upside short-term — that's a setup that can squeeze higher but also unwinds violently.

POLICY & POLITICAL WATCH

The big one is yesterday's Trump executive orders directing federal quantum adoption with a 2028 milestone — this is a direct tailwind for RGTI's government contract pipeline and likely unlocks more DARPA/DoD spending. Also watch the National Quantum Initiative Reauthorization Act, which has bipartisan support and could add billions in federal R&D funding for U.S.-based quantum players (RGTI is explicitly positioned as a domestic alternative to Chinese quantum efforts). Export controls on quantum tech to China are tightening — that's protective for RGTI's IP but could also limit any international commercial upside.

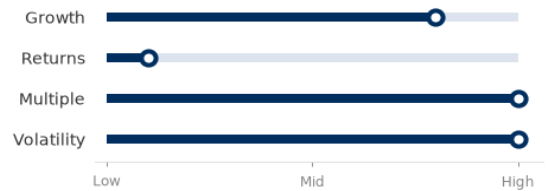
IS IT EXPENSIVE?

RGTI trades at roughly 390x this year's revenue — meaning investors are paying \$390 for every \$1 of sales the company generates. That's absurd by any normal yardstick, but quantum stocks trade on TAM (total addressable market) dreams, not current numbers. Compared to IonQ (similar profile) it's roughly in line, but Quantinuum's recent IPO at a premium valuation gives bulls cover to argue RGTI is "cheap" relative to private market comps — that's the bull case, but it's a thin reed.

Key Data

Price (USD)	\$21.28
12M Price Target	\$28.00
Upside / (Downside)	+31.6%
Market Cap	\$7.07B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$28.00	\$22.00	\$17.00
6 Months	\$38.00	\$25.00	\$14.00
1 Year	\$50.00	\$28.00	\$11.00
2 Years	\$75.00	\$35.00	\$8.00
5 Years	\$150.00	\$50.00	\$5.00
10 Years	\$300.00	\$80.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Quantum computing (Trump EOs), defensive sectors like Staples/Healthcare/Utilities (+1.4-1.9% today suggests risk-off rotation), and anything tied to national security tech spending.

COOLING OFF: Communication Services (-4.1% over 5 days) and Energy are losing steam — money is leaving high-beta growth and cyclical.

ROTATION WATCH: The fact that defensives led today while RGTI faded suggests broader market is getting cautious — money is moving to safety even as policy-driven themes like quantum get headlines. That's a mixed signal: thematic flows still favor RGTI, but macro risk-off could cap the upside.

RELATED PLAY: If quantum keeps running, the picks-and-shovels names benefit too — cryogenic cooling suppliers, specialized semiconductor fabs, and hyperscale cloud providers (AMZN, MSFT) that host quantum-as-a-service. Lower-risk way to play the same theme.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Jumped on the Trump EO news — their annealing tech is closer to commercial revenue, so policy tailwinds hit them faster.
- IONQ (IonQ): The "blue chip" of quantum — Quantinuum's IPO benchmark lifted the whole group's perceived value.

RGTI CONTEXT: RGTI is lagging the quantum cohort today, which is notable — when a sector rallies on news and your name doesn't participate, the market is telling you something. Likely the insider selling and the recent run-up (still 22% of 52-week range but well off the \$10 lows) are capping enthusiasm. If RGTI can't reclaim leadership within the group on the next policy headline, that's a tell that smart money is rotating to IONQ or QBTS.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Genuine policy tailwind and bullish options flow, but insider selling and lagging peer action keep me cautious rather than aggressive.

POSITION SIZE: 1-2% max, treat it as a speculative lottery ticket — the upside is real (multi-bagger if quantum hits) but so is the risk of a 50%+ drawdown.

ENTRY POINTS: I'd rather buy the dip at \$17-19 than chase \$21 — these stocks pull back hard on any risk-off day, and you'll get a better entry.

TIME HORIZON: 12-36 months — you need the federal contract pipeline to convert and the 2028 commercialization narrative to stay credible.

WHEN TO BAIL: If insider selling accelerates further, if RGTI loses a major DoD contract to IonQ or IBM, or if they announce a large dilutive capital raise at a discount.

HEDGING: Buy long-dated puts as crash insurance, or pair the long with a short on IONQ if you think RGTI is the weaker name in the group — that way you make money on the spread regardless of whether quantum as a theme works.